IRDAI MASTER CIRCULAR ON HEALTH INSURANCE OPERATIONS & CLAIMS

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SECTION 1: STATUTORY AUTHORITY AND PURPOSE

Issued under powers conferred by Section 14(1) of the IRDAI Act 1999 and Section 34 of the Insurance Act 1938. This Master Circular lays down mandatory operational service standards, cashless turnaround timelines, claim settlement norms, grievance redressal procedures, and consumer protection guidelines binding on all General and Standalone Health Insurers.

SECTION 2: MANDATORY CASHLESS TURNAROUND TIMELINES (TAT)

2.1 Pre-Authorisation Turnaround (1 Hour): Every insurer and Third Party Administrator (TPA) shall decide and communicate the approval or rejection of initial cashless pre-authorisation within a strict maximum turnaround time of 1 hour (60 minutes) upon receipt of complete request from the network hospital.

2.2 Final Discharge Cashless Authorisation (3 Hours): Insurers and TPAs shall communicate the final cashless discharge approval within a maximum turnaround time of 3 hours (180 minutes) from receipt of the final discharge summary and billing from the network hospital. In no circumstances shall an admitted patient be detained in hospital pending insurer authorization beyond 3 hours. Any hospital retention charges arising due to delay beyond 3 hours shall be paid solely by the insurer.

SECTION 3: CLAIM SETTLEMENT, REPUDIATION, AND PENAL INTEREST

3.1 30-Day Settlement Deadline: An insurer shall settle or repudiate (reject) a health insurance claim within 30 days from the date of receipt of the last necessary document required for processing.

3.2 Mandatory Penal Interest for Settlement Delays: Where a claim settlement is delayed beyond 30 days without lawful justification, the insurer shall be liable to pay penal interest to the policyholder at a rate 2% above the prevailing Bank Rate published by the Reserve Bank of India (RBI). Penal interest runs from the expiry of the 30-day period until the actual date of payment.

3.3 Prohibition of Repudiation on Pure Delay: Insurers and TPAs shall not repudiate or reject any claim solely on grounds of delay in claim intimation or delayed submission of documents, provided the claimant or their family proves that the delay was due to genuine medical emergency, incapacity, or other unavoidable hardship.

3.4 Detailed Repudiation Letter: In the event of claim rejection or repudiation, the insurer must issue a clear, written repudiation letter explaining the specific reasons and citing the exact clause number of the policy wording in plain language. Vague or boilerplate rejection statements are strictly illegal.

SECTION 4: GRIEVANCE REDRESSAL MECHANISM (INTERNAL ESCALATION)

4.1 Grievance Redressal Officer (GRO): Every insurer shall appoint a dedicated Grievance Redressal Officer (GRO) at each regional and head office. Contact details of the GRO must be displayed on the insurer's website and policy schedule.

4.2 Resolution Timelines (14 Days): The insurer shall acknowledge receipt of any consumer grievance within 3 working days and provide a final resolution or written decision within 14 calendar days.

4.3 IRDAI Bima Bharosa Portal: If the insurer fails to resolve the complaint within 14 days or provides an unsatisfactory reply, the policyholder may escalate the complaint directly to IRDAI via the Bima Bharosa Portal (bimabharosa.irdai.gov.in) or call the IRDAI Grievance Call Centre toll-free at 155255 / 1800 4254 732.

SECTION 5: INSURANCE OMBUDSMAN (BIMA LOKPAL) POWERS AND PROCEDURES

5.1 Right to Approach Ombudsman: A policyholder has the statutory right to file a complaint before the Insurance Ombudsman under the Insurance Ombudsman Rules 2017 if: (a) the insurer has rejected the claim in whole or in part, (b) the insurer has not replied within 30 days of grievance lodging, or (c) the resolution provided by the insurer is unsatisfactory.

5.2 Limitation Period (1 Year): The complaint to the Insurance Ombudsman must be lodged within 1 year from the date of receipt of the insurer's rejection letter or final decision.

5.3 Pecuniary Jurisdiction Limit (Rs. 50 Lakhs): The Insurance Ombudsman has legal authority and jurisdiction to adjudicate health insurance claims and disputes where the compensation or claim value claimed does not exceed Rs. 50 Lakhs (Rupees Fifty Lakhs).

5.4 Binding Nature of Ombudsman Award: The Insurance Ombudsman process is completely free of charge for policyholders (no fees or advocate required). The Ombudsman award is legally binding on the insurance company, and the insurer must comply with the award and make payment within 30 days of receiving the award copy.